

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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Docket No.: 14-16

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**BALTIC AUTO SHIPPING, INC.,**

*Complainant,*

– vs. –

**MICHAEL HITRINOV  
a/k/a MICHAEL KHITRINOV,  
EMPIRE UNITED LINES CO., INC.,**

*Respondents.*

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**COMPLAINANT'S REPLY TO RESPONDENTS' PETITION  
REGARDING ATTORNEY FEES AND REQUEST FOR AN EVIDENTIARY HEARING**

Complainant, Baltic Auto Shipping, Inc. ("Baltic"), by and through its attorney, Marcus A. Nussbaum, Esq., hereby replies to Respondents' Petition Regarding Attorney Fees pursuant to pursuant to Rule 254(e) of the Commission's Rules of Practice and Procedure, 46 C.F.R. §502.254. Complainant additionally requests that the matter be set down for an evidentiary hearing pursuant to Rule 254(g).

**RELIEF REQUESTED**

Respondents are seeking an award of attorney fees in the total amount of \$93,485.37. For the reasons set forth below, complainant requests that the instant Petition be denied in its entirety, or that the matter be set down for an evidentiary hearing inasmuch as there is a substantial dispute of facts critical to the determination of any award of attorneys fees for respondents.

## INTRODUCTION

This action was initiated by Complainant Baltic Auto Shipping Inc. against Respondent non-vessel-operating-common-carrier (“NVOCC”) Empire United Lines Co. Inc. (“EUL”) and its principal Michael Hitrinov a/k/a Michael Khitrinov, who are already well known to this Commission due to EUL’s prior violations of the Shipping Act of 1984, 46 U.S.C. §40101, *et. Seq.* (the “Shipping Act”)<sup>1</sup>. The numerous violations of the Shipping Act alleged against respondents in this action included, *inter alia*, with respect to Complainant’s cargo, that the respondents, on numerous occasions directly communicated with Complainant’s customers, thus bypassing Complainant and preventing Complainant from collecting its fee from its customers. Respondents also engaged, and continue to engage in a discriminatory pricing scheme whereby respondents provided service in the liner trade that is not in accordance with rates, charges, classifications, rules, and practices contained in a tariff published with the Commission. Respondents also engaged in an unfair and unjust discriminatory practice in the matter of rates or charges by charging the Complainant rates higher than that charged other shippers. Therefore, this is a case with significant impact on the shipping industry.

The Commission is respectfully asked to note, inasmuch as the following is relevant to complainant’s opposition to respondents’ argument that complainant’s claims herein were allegedly frivolous, that in addition to seeking reparations under the Shipping Act (which were subject to a three year limitations period), complainant also sought non-monetary relief from the Commission *not subject to the limitations period* and which was, to wit: an Order from the Commission directing respondents to provide the house bills of lading, freight invoices, and other shipping documents for the shipments at issue herein.

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<sup>1</sup> See, FMC Docket No.: 02-11.

It should be additionally be noted that the Initial Decision issued in this proceeding by the Presiding Officer on September 15, 2015 was reached upon a motion for summary decision, wherein the ALJ failed to acknowledge the existence of several triable questions of fact regarding specific events that occurred within three years of Complainant bringing this action before the Commission, and with respect to approximately thirty-eight (38) shipments for which the respondents provided services to complainant, both in respondents' capacity as an NVOCC and as an ocean freight forwarder ("OFF").

The Initial Decision (ID) granted respondents' motion for partial summary decision and dismissed the entire action on the grounds that 1) Complainant's Shipping Act claims were time barred under the Act's three (3) year statute of limitations, 2) Complainant lacked standing to pursue some of its claims, and 3) some of Complainant's claims are barred under the terms of a 2011 settlement agreement between the parties in a U.S. District Court action. For the numerous reasons set forth in detail in complainant's Exceptions to the Initial Decision, which were filed on or about January 15, 2016, (Document # 71)<sup>2</sup> the ID was incorrect on all three counts.

As set forth below, the Exceptions were withdrawn [REDACTED]  
[REDACTED]  
[REDACTED]. Additionally, and at the *specific request* and insistence of respondent Hitrinov and his counsel Jon Werner, a [REDACTED]  
[REDACTED]  
[REDACTED]

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<sup>2</sup> All references to entries on the docket are made by document number for the Commission's convenience.

<sup>3</sup>To the extent that Werner now attempts to argue on page "17" of respondents Petition that the Exceptions were allegedly withdrawn under the "imminent threat of being sanctioned", complainant will not dignify such a baseless allegation by responding to same other than to the limited extent set forth in this footnote. To do otherwise would be a waste of space in the instant Reply.

As further set forth below, respondents' actions do indeed constitute 'sharp practice' in the Petition now at bar wherein respondents by their counsel, Werner and Doyle have with one hand compelled complainant to withdraw their Exceptions inclusive of the likelihood of success of same, while with the other hand have now sought an award of damages upon allegations of complainant having filed a frivolous Complaint, which complainant was effectively precluded from disputing via its Exceptions. It is respectfully submitted that such sharp practice by Werner and respondents should not be countenanced by the Commission, and thus cannot serve as grounds for any predicate warranting an award of attorneys fees based upon allegations of complainant having interposed a frivolous complaint.

**RELEVANT PROCEDURAL HISTORY AND FACTUAL BACKGROUND**

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] The following facts, however are highlighted for the Commission's consideration on this issue.

As the Commission will surely recall, the undersigned represented Baltic and Andrejus Presniakovas in Empire, *supra*, brought by respondents Hitrinov and EUL during the course of which the Honorable Dennis M. Cavanaugh (Retired) was appointed Special Master to oversee the completion of discovery and ultimate resolution of the case. At present, Judge Cavanaugh is

now in private practice as Counsel at the law offices of McElroy, Deutsch, Mulvaney & Carpenter, LLP with an office located at 570 Broad Street in Newark New Jersey.

Specifically, on or about September 3, 2015, Judge Cavanaugh was contacted by the Hon. Magistrate Judge Mark Falk who requested that Judge Cavanaugh serve as a Special Master in the above captioned matter<sup>4</sup>; specifically, for the purposes of overseeing completion of discovery therein including but not limited to the holdings of depositions of the parties, and presiding over settlement negotiations. With particular regard to the latter, Judge Cavanaugh personally presided over and engaged in face-to-face settlement negotiations with counsel for plaintiffs and defendants therein, including plaintiff, Michael Hitrinov.

On February 25, 2016 and April 21, 2016, the deposition of Hitrinov was held at Judge Cavanaugh's Newark office, which the Judge personally attended for the purpose of supervising same and rendering rulings as needed. On day two of said depositions (to wit, April 21, 2016), and in lieu of completing defendants' deposition of Hitrinov, a settlement conference ensued wherein Judge Cavanaugh communicated privately with counsel for both parties, [REDACTED], the terms and conditions of which were placed 'on the record', a transcript of which was made. [REDACTED]

[REDACTED] On this specific issue, the Commission may recall noting, on page "2" of its January 5, 2017 Memorandum Opinion and Order (Document # 86), that:

"On April 27, 2016, however, Complainant informed the Commission via email correspondence that "all claims and counterclaims in this matter have been resolved to the mutual satisfaction of the parties." Furthermore, Complainant advised that it would be withdrawing its appeal/exceptions to the ALJ's Initial

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<sup>4</sup> For purposes of any forthcoming evidentiary hearing, it should be noted that the parties are not precluded from calling Judge Cavanaugh as a witness in this matter.

Decision and requested that the Commission stay all activity *pending a settlement agreement between the parties, to be delivered within 60 days of the date of the letter*. A proposed notice withdrawing all claims and counterclaims under separate cover was stated to be forthcoming.” (Emphasis added).

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Thereafter, Hitrinov by his counsel Jon Werner (“Werner”) insisted that the terms of the settlement be reduced to a formal written “Settlement Agreement” (the “Agreement”). To that end, Hitrinov and his counsel, Werner unilaterally drafted a Settlement Agreement which was sent for Judge Cavanaugh’s personal review prior to their execution by both the parties and their counsel, containing the following language as drafted and included within said Agreement as follows:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Hitrinov and Mr. Werner refused to consummate the settlement unless the terms of the settlement were reduced to a written Agreement which was ultimately drafted by Hitrinov and Werner. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

On May 16, 2016, Judge Cavanaugh emailed the counsel for all parties, stating as follows:

Dear Counsel:

It is my understanding from the various emails I have received from the parties that the settlement documents in this matter have not been signed. As I have stated to you, as per our agreement, this matter has been settled and such

settlement has been placed on the record and reported as settled to the Court. For some inexplicable reason, the parties still seem to be arguing over matters that in my view do not pertain to the settlement. At best, these are post settlement issues that can be addressed separately. [REDACTED]

[REDACTED]

The Settlement Agreement was executed by Baltic and Mr. Presniakovas on May 24, 2016 and emailed to Judge Cavanaugh and Mr. Werner on the same day.

The Commission may also recall noting, on pages “2” through “3” of its January 5, 2017 Memorandum Opinion and Order, that:

“On May 27, 2016, Complainant advised the Commission's Office of the Secretary (OS) that Complainant had filed a Settlement Agreement in an unrelated matter before the U.S. District Court for the District of New Jersey, *was awaiting a countersigned copy by the Respondents, and upon receipt would file a formal notice of withdrawal in this case still currently before the Commission.* On August 3, 2016, after receiving no notice of withdrawal or settlement agreement between the parties, the Commission ordered the parties to file a joint status report.”

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

The Commission is further respectfully asked to note that at no time did Hitrinov ever refuse to execute the Settlement Agreement due to any disagreement with the material terms of same nor any stated intent to seek attorneys fees in the instant matter, but rather, and subsequent to Baltic's execution of said agreement, Hitrinov and Werner demanded that Baltic provide an *ink signed copy* of the agreement additionally execute a Russian language version of said agreement (and for reasons not understood inasmuch as Mr. Presniakovas' native language is Lithuanian).

By way of example, on June 10, 2016, a telephonic status conference was held by the Honorable Magistrate Judge Mark Falk wherein the parties discussed Hitrinov's unusual and unreasonable request that the parties execute multiple language versions (and multiple ink originals) of the Settlement Agreement. On June 14, 2016, Werner emailed the undersigned wherein he stated as follows:

"...as discussed during the telephone conference before Magistrate Judge Falk on June 10, I am still waiting for receipt of the original signed settlement agreement executed by your clients. I note that you did not object to producing same during the June 10 telephone conference so I would appreciate your response as to when the original will be provided. If I do not hear from you by close of business tomorrow I have been instructed to file a motion to enforce the order to provide the original signed settlement agreement or to set aside the settlement agreement based on your clients' non-cooperation.

As already mentioned previously, the original signed settlement agreement must be provided in order to reasonably ensure that your clients will not dispute having executed the agreement. As you know, you and your clients have previously "lost" original signed documents and you have notarized several documents signed by your clients "in your presence" when you were in Brooklyn and they were in Chicago. My clients will not tolerate any basis for doubt as to the validity of the settlement agreement or your clients' intention to be bound to same."

On June 14, 2016, Judge Cavanaugh emailed the undersigned, stating as follows:

“Mr Nussbaum- please supply Mr Werner with the original as contemplated. It is a reasonable request. D Cavanaugh”

Subsequent thereto and between June 14, 2016 and June 16, 2016, the parties exchanged further emails on the issue of how many ink originals should be executed, and in what manner, further delaying the execution of the Settlement Agreement by Hitrinov for reasons wholly unrelated to any purported intent to seek attorneys fees in the instant matter.

On June 15, 2016, Werner docketed a letter with the Court addressed to Magistrate Judge Falk wherein he stated as follows:

“Dear Magistrate Judge Falk,

As you know, I represent the plaintiffs in this case and write to very briefly respond to the letter filed today by Mr. Nussbaum (Docket Entry 71) in which he contends that defendants never consented or agreed to provide plaintiffs ***with an ink signed copy of the settlement agreement***. When counsel participated in the telephone conference conducted before Your Honor on June 10, the undersigned explained that this was one of the remaining items to be completed in order for the parties’ settlement to be consummated (along with a final payment due on June 20 and execution of a non-binding Russian translation of the settlement agreement to be provided at plaintiffs’ expense ***in order to avoid any future claims of confusion about what the parties agreed to when settling this matter***).” (Emphasis added).

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

On August 30, 2016, Respondents filed a response in opposition to Complainant's request to discontinue the action. In their response, Respondents consented to Complainant's withdrawal of its Exceptions, but argued that per Commission Rule 72 "only upon a stipulation of the parties" could the matter be discontinued. As they would not consent to dismissal of the proceeding in its entirety, Respondents argued that the initial decision should become the decision of the Commission. Respondents further argued that the award of attorney fees is mandated at this stage of the proceeding.

[REDACTED]

[REDACTED]

Thereafter, the Commission issued its Memorandum Opinion and Order of April 21, 2017, giving respondents leave to interpose a Petition for Attorneys Fees herein.

Significantly, and within its Memorandum Opinion and Order, the Commission held as follows:

“With respect to the part of Complainant’s motion requesting that the Commission extinguish the ability of either party to seek attorney fees, the Commission denies this request. The award of attorney fees in Shipping Act complaint proceedings is governed by statute and the Commission’s implementing regulations. See 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254. Specifically, the Commission may, upon petition, award the prevailing party reasonable attorney fees. 46 C.F.R. § 502.254(a)...**This does not mean, however, that the Commission would necessarily award attorney fees in this proceeding upon receipt of a petition. Eligibility and entitlement to fees would be determined in accordance with the principles laid out in Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC, Docket No. 14-04, 2016 FMC LEXIS 58 (FMC Sep. 14, 2016) and the guidance included in the Commission’s final rule implementing the amended attorney-fee award provisions of the Shipping Act. See 81 Fed. Reg. 10509 (Mar. 1, 2016).**” (Emphasis added).

As set forth below, and based upon the controlling case law cited in the Commission’s Decision and Order of April 21, 2017, *supra*, it is respectfully submitted that respondents are not entitled to any award of attorneys fees.

#### **BRIEF STATEMENT**

It is respectfully submitted that in bringing on the instant Petition, respondent, Michael Hitrinov (“Hitrinov”) by his counsel, Jon Werner (“Werner”), who has represented and continues to represent Hitrinov in the numerous past and present litigations within which he has been and continues to be involved, together with respondents’ counsel Gerard S. Doyle, have acted in abject bad faith and with manifest unclean hands in seeking attorneys fees herein. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

The main protagonist who has sought to wrongfully interfere with the otherwise orderly withdrawal of this action, is the aforementioned Mr. Werner. Hitrinov's agreement that the [REDACTED] memorialized in a Settlement Agreement drafted by Hitrinov's former counsel, Jon Werner, who the Commission is aware has substantially interfered with the orderly discontinuance of the case at bar.

As additionally set forth below, an award of attorneys fees herein is not consistent with the purposes of the Shipping Act. Respondents and Werner cannot reasonably be heard to say that the complaint filed by complainants was frivolous, inasmuch as it was not dismissed on the merits, but rather, on limitations grounds (in error by the Presiding Officer as set forth in detail in complainant's Exceptions).

As further set forth below, there is and was no objective unreasonableness in the factual and legal components of the case and complaint filed by Baltic, and therefore, no deterrent effect would be achieved by awarding fees to respondents because there is no conduct that would need to be deterred by this Commission.

Accordingly, and based upon the arguments set forth below, it is respectfully submitted that the Petition by respondent Hitrinov by his counsel, Werner, be denied in its entirety, with prejudice.

### **ARGUMENT**

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

### Standard of Review

It is well settled that a party may ratify a contract or release entered into by intentionally accepting the benefits under the contract, by remaining silent or acquiescing in the contract for a period of time after he has the opportunity to avoid it or by acting upon it, performing under it, or affirmatively acknowledging it. See, VKK Corp. v. Nat'l Football League, 244 F.3d 114, 122 - 23 (2d Cir.2001).

In the matter of Sea-Land Serv., Inc. v. Sellan, 64 F. Supp. 2d 1255, 1264 (S.D. Fla. 1999), the Court enforced a settlement agreement between a seaman and his employer despite the seaman's refusal to sign the written agreement. Id. The Court found that the seaman's acceptance of the settlement check ratified the settlement agreement and stated that “[w]here a party accepts the benefits of a settlement agreement...and knows, or in the exercise of due diligence should have known, the facts concerning the settlement, the party ratifies the settlement by accepting the benefits....” Id. at 1262. See also, Rabenstein v. Sealift, Inc., 18 F.Supp.3d 343 (E.D.N.Y. 2014) (plaintiff's cashing of the Settlement Check ratified the settlement agreement between the parties).

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

It is further well settled that one party's refusal to sign the written settlement agreement is “not dispositive” because “when parties agree on the essential terms of a contract and there is nothing left for future negotiations, the fact that they also intended there to be a future writing that expresses their agreement more formally does not affect the immediately binding nature of the agreement. See, Ovchinnikov v. Contech Const. Prod., Inc., No. CIV. 07-1482-PK, 2008 WL 5122706, at \*5 (D. Or. 2008), *aff'd*, 364 F. App'x 351 (9th Cir. 2010) (citing In re Marriage of Baldwin, 215 Or. App. 203, 168 P.3d 1233 [2007]).

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

The Parties Demonstrated Their Intent to Be Bound by the Settlement Agreement

In rendering its January 5, 2017 Memorandum and Opinion on the issue of giving confidential treatment to the Settlement Agreement, the Commission found, on page “7” of same that:

“Although it is unclear whether the Settlement Agreement filed by Complainant represents the settlement agreed to by the parties, given that it is not signed by Respondents, ***it at least appears to reflect Complainant's understanding of the settlement terms.***” (Emphasis added).

On this basis, the Commission found sufficient grounds to afford confidential treatment of the Settlement Agreement, explaining on page “7” that:

“...in light of the clause requesting confidentiality, the terms of the possible and proposed settlement, which could be construed as commercially sensitive, and the history of support for granting confidentiality clauses, the Commission grants the request for the confidential treatment of the Settlement Agreement...”

Accordingly, it is respectfully submitted that in light of the Commission’s acknowledgment as to *Complainant's* understanding of the settlement terms as memorialized in the written Settlement Agreement, and to resolve issue of respondents’ ratification of the terms of the Settlement Agreement, the Commission need look no further than to the facts set forth herein regarding: [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

It is respectfully submitted that the absence of signatures on the copy of the Settlement Agreement produced by Baltic should not affect its enforceability or validity. In the first instance, even oral agreements are valid and enforceable. See, Sea-Land Serv., Inc. v. Sellan, 64 F.Supp.2d 1255, 1261-62 (S.D.Fla.1999). In evaluating the enforceability of an *oral* settlement agreement, the dispositive issue is whether the parties intended to be bound by an oral agreement in the absence of a writing. See, Winston v. Mediafare Entm't Corp., 777 F.2d 78, 80 (2d Cir.1985). This is not a case where there is no writing. There is a writing – prepared by the attorney of the party to be charged (to wit: Jon Werner) - but where one of the parties may never have signed, however, respondents manifested their intent to be bound by virtue of the matters set forth herein.

Even if signatures would have been required, respondents are estopped to deny their absence, having admitted the existence of the Settlement Agreement, [REDACTED]

[REDACTED]

[REDACTED] See, A. J. Tenwood Associates, Inc. v. U. S. Fire Ins. Co., 104 Misc.2d 467, 428 N.Y.S.2d 606 (N.Y.Sup. 1980) (Defendant estopped by its conduct from relying on technical noncompliance with statute requiring subscribed writing where, *inter alia*, there was no dispute as to fact or terms of agreement and repudiating defendant prepared documents conforming to the oral settlement agreement and transmitted them to plaintiff under circumstances justifying assumption agreement would be formally consummated); see also, Mone v. Park East Sports Medicine and Rehabilitation, P.C., 2001 WL 1518263, \*5 – 6 (S.D.N.Y. 2001) (Party may be estopped to raise technical noncompliance with CPLR requirement that settlement agreement be signed); Rhulen Agency, Inc. v. Gramercy Brokerage, Inc., 106 A.D.2d 725, 728, 484 N.Y.S.2d 156, 159 (3d

Dept. 1984) (same).

With respect to respondents' unclean hands, the Commission is also respectfully asked to note that while respondents' counsel, Werner devoted a significant portion of respondents' instant Petition to reciting events allegedly having occurred during the course of discovery in the District of New Jersey action, and which bear absolutely no relevance to the matters at bar, conspicuously absent from said recitation of events is *any reference whatsoever to the settlement of the District of New Jersey action*, as well as Werner's personal participation in the negotiation and drafting of the Settlement Agreement.

Although misunderstandings are potential consequences of oral negotiations, the email dated May 5, 2016 from Jon Werner to the undersigned, and copied to Judge Cavanaugh regarding the negotiation of the terms of the Settlement Agreement, expressly stated that:

[REDACTED]

■ [REDACTED]  
[REDACTED]  
[REDACTED]  
[REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]  
[REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]  
[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Accordingly, and pursuant to the case law and facts set forth above, it is respectfully submitted that the actions of both respondents and their counsel demonstrate their unequivocal waiver of the right to seek attorneys fees herein, thus warranting denial of respondents instant Petition.

***An Award of Attorneys Fees Herein Is Not Consistent With the Purposes of The Shipping Act***

Standard of Review

**Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC, Docket No. 14-04, 2016 FMC LEXIS 58 (FMC Sep. 14, 2016)**

In Edaf, *supra*, the Commission explained that “...the ‘primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes.’” Edaf, *supra*, further set forth such factors to be considered in determining when and whether to grant a Petition seeking an award of attorneys fees, and which are, to wit:

“...frivolousness, motivation, objective unreasonableness (both in the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.” See, Id. at 9 (citing Fogerty v. Fantasy, Inc., 510 U.S. 517, 534 n.19 [1994] and quoting Lieb v. Topstone Industries, Inc., 788 F.2d 151, 156 [3d Cir. 1986]).

Particularly instructive on the issue of entitlement to attorneys fees is also the concurring opinion of Commissioner Doyle, with whom (former) Chairman Cordero and Commissioner Maffei joined “...to more thoroughly address why the Claimant in [Edaf] is being penalized and to stress that awarding attorney fees to prevailing Complainants or Respondents *should only occur in limited, fact-specific instances to avoid any chilling effect on parties filing meritorious claims in the future.*”

With regard to the concurring opinion, it is respectfully submitted that the Commissioners are intimately familiar with the basis for penalizing the complainant in Edaf, *supra*, which need not be repeated at length herein for purposes of brevity. Suffice it to say that the concurring opinion does set forth in detail a pattern of non-responsiveness to several attempts by respondents to move the case along, a pattern of missed deadlines by complainant, and a

blatant disregard for the Orders and directives of issued by the Presiding Officer in that matter, *none of which have occurred in the case at bar*. Specifically on these issues, and in support of an award of attorneys fees, Commissioner Doyle explained as follows:

“As an attorney, Mr. Malec should have known that a this type of action is not acceptable in the U.S. legal system. Edaf Antillas’ claims likely were meritorious, as demonstrated by the ALJ’s decision not to dismiss all of the initial claims. Attorneys have a responsibility to act with reasonable diligence and promptness in representing a client, and in representing himself as both an officer of Edaf Antillas and as an attorney, that responsibility fell on Mr. Malec’s shoulders. If the Complainant did not plan to fully prosecute its claims in a responsible and timely manner, then Complaint should have taken appropriate steps to properly dismiss the action.” (Edaf, *supra*, at 23).

Significantly, and with respect to the foregoing, it should be noted that Baltic *did have a meritorious claim* which it prosecuted in a responsible and timely manner, as explained below. While it is respectfully submitted that the Presiding Officer, in error, dismissed the matter on limitations grounds, Baltic demonstrated its good faith intent to correct said error and prove its meritorious claim by filing its Exceptions to the Initial Decision. [REDACTED]

[REDACTED] it ultimately would have been a prevailing party in this matter inasmuch as there were various shipments at issue herein which were neither time barred nor subject to the 2011 Settlement Agreement discussed at length in respondents’ instant Petition.

Additionally, the Commission is respectfully asked to note the stated desire by Commissioner Doyle to only support awarding attorney fees to the prevailing party in limited, fact-specific cases, in keeping with the “American Rule”, (Edaf, *supra*, at 23) and the need to avoid a chilling effect on meritorious cases. As explained by Commissioner Doyle, the facts in Edaf, *supra*, demonstrated that the Complainant’s representative, Mr. Malec, led the Respondents through nearly 12 months of legal proceedings before walking away from the case without any notice or communication. Id. It is therefore respectfully submitted that the bad faith

conduct of Mr. Malec stands in stark and marked contrast to the actions taken by complainant Baltic and its counsel herein.

As set forth below, the respondents have failed to set forth prima facie entitlement to an award of attorneys fees under each and all of the requirements set forth above, which are discussed separately below.

***Complainant's Underlying Complaint Was Not Frivolous***

As set forth above, Complainant served and filed a Complaint in this matter on or about November 28, 2014. Respondents then interposed a Motion for More Definite Statement which resulted in the Presiding Officer directing respondents to interpose an Answer to complainant's complaint.

Following joinder of issue, respondents then interposed a Motion for Summary Decision alleging that: 1) the Complaint was 'untimely', having purportedly been served and filed after the statute of limitations pertaining thereto had expired; 2) Complainant lacked standing to pursue some of its claims, and 3) some of Complainant's claims are barred under the terms of a 2011 settlement agreement between the parties in a U.S. District Court action.

Respondents' motion was ultimately granted by the Presiding Officer within his Initial Decision of September 15, 2015 (Document # 67), which reads in relevant part, as follows:

"Baltic's claim for a reparation award accrued more than three years before it filed its Complaint. Therefore, the claim is barred by the Act's statute of limitations. Baltic does not articulate any other cognizable relief to which it may be entitled. Therefore, Baltic's Complaint is dismissed with prejudice."

As clearly enunciated by the Presiding Officer, the decision granting respondents' motion and dismissing complainant's complaint, in no way considered or otherwise passed on the merits of complainant's allegations that respondents had violated the Shipping Act. Consequently and to the time of this writing, there has been no decision, ruling, or finding that the Complaint was in

any way ‘frivolous’ within the meaning of the authority which the Commission has indicated constitutes the standard of review under which respondents’ Petition for Attorneys Fees will be decided. See, Edaf, supra. Moreover, and as explained in detail below, Baltic’s Shipping Act Claims were additionally meritorious inasmuch as Baltic had also sought non-monetary relief from the Commission.

Accordingly, and based upon the foregoing, it is respectfully submitted that respondents’ instant relief cannot be granted upon any allegation that complainant’s complaint was frivolous within the meaning of the applied standard of review as set forth by the Commission.

It is further respectfully submitted that by seeking an award of attorneys fees based upon allegations that the complaint was frivolous, respondents’ counsel by Jon Werner has acted with unclean hands and in manifest bad faith.

***Baltic Filed Its Complaint within the Applicable Statute of Limitations***

Specifically, the Commission is respectfully asked to note that complainant had originally filed Exceptions to the Presiding Officer’s Initial Decision, and said Exceptions were based upon the fact that five (5) of the individual shipments described therein were in fact transacted within the applicable Statute of Limitations, a copy of which was duly filed with the Commission and remains available for review. For the Commission’s reference, these specific shipments were described as the “Group III” shipments in the Initial Decision as well as on pp. 25-32 of Baltic’s Exceptions thereto. The following is a summary of Baltic’s arguments regarding the Group III shipments set forth in pp. 25-32 of Baltic’s Exceptions, citations omitted for purposes of brevity.

By way of background, and with regard to these shipments, the respondents unlawfully contacted Baltic’s customer directly regarding the shipments. Subsequent to this unlawful direct contact with Baltic’s customer, respondents ultimately collected freight and extra charges

directly from a third-party known as “M&E Baltic LLC” (hereinafter “M&E”) and released the shipments to that third-party without the knowledge, and without the consent of Baltic, in violation of the Shipping Act.

Respondents argued before the Presiding Officer that these shipments belonged to M&E and admitted that they released the shipments to third-party M&E, while the evidence on the record demonstrated that respondents were aware that the shipments belonged to Baltic.

In the certification of Michael Hitrinov, submitted in support of respondents’ motion for summary decision, the respondents admitted to receiving shipping instructions for these five shipments directly from Baltic, thus establishing that these were Baltic’s shipments wherein Baltic was acting as NVOCC with respect to its own clients. As explained in the Exceptions, those shipping instructions identified the shipper of record, as well as the consignee. It is therefore notable that the shipping documents on the record demonstrated that M&E was neither the shipper nor the consignee for those five shipments, and that respondents knowingly released the shipments to that third-party, thus constituting a misdelivery that is a violation of the Shipping Act.

Respondents’ unlawful contact and release of the cargo effectively cut Baltic out of the picture, harming Baltic by leaving it unable to collect monies from its client for other services rendered by Baltic with respect to that cargo. These shipments were released without informing Baltic, when respondents surrendered the original bill of lading to common carrier MSC – and Baltic discovered this upon attempting to collect its fee from its customer. Baltic learned of this no earlier than January 5, 2012 and within the three year time bar for reparations under the Shipping Act. While the cargo may have been released outside of the statute of limitations, Baltic was not a party to any communications between M&E and respondents, and therefore the discovery rule acts to toll the statute of limitations.

As part of Baltic's post hearing submissions, the ALJ was provided with two sworn certifications, the first was from the employee at M&E (identified as "Kamil Sawon") that was personally in direct contact with the respondents, and in which Mr. Sawon attaches email correspondence between M&E and respondents, indicating that M&E paid the respondents for the release of the cargo.

As explained in the Exceptions, Baltic was at that time unaware of this correspondence as it was solely between M&E and respondents. Mr. Sawon further explains that: "During [his] tenure at [M&E], and with regard to the five above referenced booking numbers, neither [M&E] nor [Mr. Sawon] ever requested that [respondents] book these shipments on behalf of [M&E] or on behalf of G&G Auto Sales" and that "[d]uring [his] tenure at [M&E], and with regard to the five [booking numbers for the Long Beach shipments], neither [M&E] nor [Mr. Sawon] ever received nor used these bookings from [respondents]. These bookings do not belong to [M&E] nor [Mr. Sawon] and are not for shipments from [M&E]. Neither [M&E] nor [Sawon] ever forwarded shipping instructions or dock receipts/masters to [respondents] for these five bookings."

The second certification provided to the ALJ was from G&G Auto Sales Inc. ("G&G"), which was the shipper/exporter of these five shipments. That Certification explained that it was being provided because the respondents: "have stated under penalty of perjury, that these bookings do not belong to the complainant, [Baltic] and that they instead belong to [M&E]..." and that the purpose of the certification was to explain "...to the Commission why the statements of [respondents] are false." In that certification, the principal of G&G, Gediminas Garmus explained that: "[w]ith respect to the five [Long Beach] bookings, G&G Auto Sales retained the services of Baltic Auto Shipping Inc. to export those five containers." Mr. Garmus also explained that in early 2012 (and within the three year statute of limitations), when Baltic

contacted G&G for payment of the shipment of the five containers, that G&G informed Baltic that the containers had already been released.

In erroneously ruling that Baltic's claims were time barred with respect to these shipments, the ALJ demonstrated a misunderstanding of three key points: (1) that the cargo was unlawfully released by respondents in violation of the Shipping Act; (2) that the cargo was released to third-party M&E that had no relationship with Baltic; and (3) that, as explained in the Exceptions, while Baltic was aware that respondents were *attempting* to contact its customers regarding the release of the cargo in late November of 2011, and further while the cargo was released without Baltic's knowledge, *Baltic was only informed by its customer that the cargo had actually been released in January of 2012.*

The ALJ's misunderstanding of these issues was evident on page "12" of the ID wherein the ALJ discusses the Group III shipments and erroneously focuses on the issue of extra charges imposed by respondents, instead of focusing on the unlawful release of the cargo. The ALJ also demonstrably misunderstood the nature of Baltics claims as can be seen by the ALJ's focus, on pages "44" and "45" of the ID, solely on the issues of charges collected by respondents for these shipments.

With respect to these shipments, complainant's underlying brief in opposition to the motion for summary decision referred the ALJ to a series of emails between Baltic and the Ms. Tara E. Nielsen of the Commission's Office of the Managing Director from 2011, and a spreadsheet in these emails listing five shipments from California to the port of Klaipeda, Lithuania. With respect to these five shipments, Baltic reached out to Ms. Nielsen for assistance in preventing the respondents' imminent interference with Baltic's business. With respect to the shipments, the respondents: (1) ceased communicating with Baltic refused to answer Baltic's inquiries; and (2) unlawfully contacted Baltic's customers directly without Baltic's consent; and

(3) subsequently released the cargo to M&E *which is a third-party which was not a customer of Baltic*.<sup>5</sup>

Based upon Baltic's contact with the Commission and its subsequent intervention, Baltic reasonably believed that the respondents would not subsequently release the cargo and collect payment from Baltic's customers without notifying Baltic and without Baltic's consent. Unfortunately, this was not the case and after respondents ceased all contact with Baltic on December 29, 2011, Baltic discovered on or about January 5, 2012 that the respondents did in fact release Baltic's cargo to a third-party and collected payment directly from that third-party (notwithstanding that the freight charges collected by the respondents were an additional \$266.00 per shipment, over and above the rate quoted by respondents to Baltic for those shipments plus an additional \$1000.00). These shipments were released without informing Baltic, when the respondents surrendered the original bill of lading to the common carrier known as Mediterranean Shipping Company.

In the underlying motion papers, Baltic explained that the respondents violated the Shipping Act by failing to observe regulations connected with receiving, handling, storing, and delivering of the Complainants property. With respect to this violation, respondents' act in releasing cargo to a third party without notifying the complainant is a failure to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property" in violation of section 10(d)(1). See, Bimsha International v. Chief Cargo Services, Inc., 32 S.R.R. 353 (ALJ 2011).

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<sup>5</sup> With respect to Ms. Nielsen's attempts to contact respondents to resolve the situation, it should be noted that said emails indicated that respondents ignored Ms. Nielsen's attempts to contact them. It should also be noted that respondents' willful disregard towards the Commission and efforts to evade contact by Commission employees is a recurring theme and is described in detail in the matter of *Ovchinnikov et al., v. Empire United Lines Co. Inc. et al.*, FMC Docket No. 15-11 and FMC Informal Docket 1953(I). Specifically, the Commission is respectfully referred to Document #'s 6-11 on Docket 15-11 which detail respondents' efforts to evade service of the complaint and refusal of correspondence from the Commission, which resulted in the Presiding Officer issuing a Notice of Default and Order to Show Cause.

Furthermore, Section 10(b)(13) of the Shipping Act prohibits disclosure of information, by a regulated entity, related to “the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier,” without the consent of the shipper or consignee, if the information “may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier,” or if the information “may improperly disclose its business transaction to a competitor.” 46 U.S.C. § 41103(a). Respondents’ contact with M&E Baltic resulted in the disclosure of prohibited information and resultant harm that are addressed by § 41103(a) of the Shipping Act.

In light of: (1) the complainant’s contact with the Commission and its subsequent reasonable belief that the cargo would not be released without its permission; (2) respondents’ refusal to communicate with complainant after December 29, 2011; and (3) respondents’ communication with M&E without including Baltic in said communication, Baltic argued that under the discovery rule, this claim is timely, or at the minimum, creates issues of fact regarding how this claim is affected by the three year statute of limitations. Baltic did not learn that the cargo was actually released until January 5, 2012.

As set forth in the Exceptions, in error, the ID disposes of this group of shipments as time barred by addressing only the Shipping Act violations related to the overcharging of rates, and the ALJ failed to address and discuss respondents’ violation of the Shipping Act (*vis a vis* releasing the cargo to the third-party) for failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property”.

A final point for the Commission’s consideration on the issue of merit to Baltic’s Shipping Act claim is with respect to a notation made by respondents’ counsel, Gerard S. Doyle on page “11” of the invoices submitted in support of respondents’ instant Petition, wherein he

admits that various shipments *were not time barred*.

Specifically, in Doyle's billing for 4/22/2015 he noted as follows:

“...advise [Michael Hitrinov] that in the FMC case [Baltic's] defense will be that delay in releasing containers after [the Settlement Agreement and Mutual Release] and w/n 3 years means not time barred; not barred by [the Settlement Agreement and Mutual Release]...”.

***Baltic's Shipping Act Claims Were Additionally Meritorious Inasmuch as Baltic Had Also Sought Non-Monetary Relief from the Commission***

On this issue, and inasmuch as the ID erroneously determined that “Baltic does not articulate any other cognizable relief to which it may be entitled” the Commission is also respectfully asked to note that the Exceptions explained that the ALJ failed to address the respondents' continued failure to produce the house bills of lading, freight invoices, and other shipping documents, for the shipments at issue herein, in violation of the both the Shipping Act and the rules and regulations governing the duties of NVOCC's and OFF's, which respondents failed to produce in an effort to conceal their unlawful activities.

The ID's erroneous statement that “Baltic has not articulated a claim for non-monetary relief that is warranted by the facts of this case...” (ID at 4) was incorrect inasmuch as the undersigned explained, during oral argument, that the non-monetary relief requested was an Order from the Commission directing respondents to provide the house bills of lading, freight invoices, and other shipping documents for the shipments at issue herein<sup>6</sup>. See, p. 77, ln. 8-22 of the Oral Argument Transcript (Document # 62).

***Baltic Was Induced to Withdraw its Exceptions by Werner and the Respondents***

The Commission is further respectfully asked to note that respondent, Hitrinov was represented by Werner in a case before the United States District Court for the District of New

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<sup>6</sup> It should also be noted that respondents' willful refusal to provide shipping documents is also a recurring theme and is described in detail in the matter of *Ovchinnikov et al., v. Empire United Lines Co. Inc. et al., supra*.

Jersey arising out of a portion of the identical transactions at issue in the instant case which was ultimately settled and marked as disposed by the Court. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

It is respectfully submitted that such sharp practice by Werner should not be countenanced by the Commission, and thus cannot serve as grounds for any predicate warranting an award of attorneys fees based upon allegations of complainant having interposed a frivolous complaint.

***Dismissal of Respondents' Frivolous Counterclaim Further Warrants Denial of their Instant Petition***

Contemporaneously with the filing of their Answer in this matter (Document # 11), the respondents filed a frivolous counterclaim in the amount for \$200,000 for alleged unpaid freight charges, purportedly due and owing from Baltic, in violation of the shipping act. 46 USC 41102 (a) (1) section 10 (a) (1). With respect to the counterclaim, the ALJ did not afford the parties the opportunity to conduct discovery. This issue was also brought to the attention of the Commission on or about March 18, 2015, as part of Baltic's motion for an order precluding respondents from producing documents in support of their counterclaims (Document # 24), which was never addressed by the ALJ prior to the issuance of the ID.

After Baltic filed its complaint on November 28, 2014 with the Commission, Baltic's counsel was contacted by respondents' counsel on December 8, 2014, and prior to the time that

respondents were required to file their answer in this matter. At that time, respondents' attorney advised that Baltic allegedly failed to repay a loan to respondents in the amount of \$200,000.00, which in fact, was actually repaid by Baltic years ago. On December 8, 2014, respondents' counsel never raised any issues regarding any alleged unpaid freight due and owing to Empire. Again on December 19, 2014 and January 12, 2015, respondents' counsel contacted Baltic's counsel again regarding the \$200,000.00 loan and again, during these communications, no issues were raised by respondents' counsel regarding any alleged unpaid freight due and owing to respondents.

When respondents filed their answer on or about January 23, 2015, they asserted a counterclaim for the first time, for \$200,000.00 for alleged unpaid freight, and not the loan. This frivolous counterclaim is and was without any basis in fact and was asserted in retaliation for Baltic filing the FMC action. Notably, this amount of \$200,000.00 is the same amount claimed by respondents in a frivolous lawsuit filed by respondents against Baltic on February 4, 2015 in the U.S. District Court for the Eastern District of New York (captioned as *Empire United Lines Co., Inc. v. Presniakovas et al.* U.S.D.C. -- EDNY Docket No.: 1:15-cv-00557-DLI-RER), also filed by respondents subsequent to the FMC action and also asserted in retaliation for Baltic filing the FMC action. The EDNY lawsuit was about Baltic's alleged failure to repay the loan of \$200,000.00.

The Commission is aware that the ID spontaneously expanded the scope of respondents' motion for *partial* summary decision, and dismissed the *entire* action, including the respondents' frivolous Counterclaim. Assuming *arguendo* that this was not the case, and that Baltic was afforded the opportunity to complete discovery on respondents' counterclaim and then establish that it was indeed frivolous, then in accordance with the case law cited herein, it follows that *Baltic should be a prevailing party and be awarded attorneys' fees.*

Inasmuch as Mr. Werner, on pp. 6-7 of respondents' Petition, has taken pains to discuss complainant's motion to amend the complaint and to add him personally as a party to the instant matter, the Commission is further respectfully asked to note that the ALJ denied that motion, and specifically explained that section 41104(3) of the Shipping Act "does not grant power to the commission to police the litigation tactics of common carriers or OTI's in federal courts." (Document #54). It is submitted that by *sua sponte* dismissing the entire FMC action, however, the ALJ declined the opportunity to police the litigation tactics of respondents *in the instant action* before the Commission (for having filed a frivolous counterclaim). In light of the foregoing, it is submitted that while respondents may be prevailing parties by statute, their filing of a frivolous counterclaim further warrants denial of their instant Petition.

***Complainant's Underlying Complaint Was Served With Good Cause, In Good Faith, And With Proper Motivation***

As set forth above, the instant complaint was initiated with 'good cause' and in 'good faith' within the meaning of the standard of review set forth above to the extent that notwithstanding the Presiding Officer's finding of untimeliness with respect to Balitc's ability to obtain reparations, said complaint sounded in *bona fide* violations of the Shipping Act, the merits of which were never ruled upon by the Commission and thus remain *bona fide* to the time of this writing. It is further respectfully submitted that identical to respondents' efforts to seek attorneys fees upon allegations of a frivolous complaint, neither can the foregoing serve as grounds for warranting an award of attorneys fees based upon allegations of complainant having interposed a complaint without good cause or not brought with good faith.

It is further respectfully submitted that said complaint was brought with proper motivation, to wit: the seeking of compensation in an amount equal to financial losses sustained by complainant as the direct result of respondents having imposed illegal and unlawful tariffs

and other fees (in direct violation of the proscriptions of the Shipping Act), effectively holding complainant hostage over the release of property in the form of vehicles owned by complainant or its customers. As additionally set forth above, Baltic also sought non-monetary relief from the Commission which was not barred by the three year limitations period and which was, to wit: an Order from the Commission directing respondents to provide the house bills of lading, freight invoices, and other shipping documents for the shipments at issue herein.

It is additionally respectfully submitted that identical to both respondents' efforts to seek attorneys fees upon allegations of a frivolous complaint as well as allegations of complainant having interposed a complaint without good cause or not brought with good faith, that neither can the foregoing serve as grounds for warranting an award of attorneys fees based upon allegations of complainant having interposed a complaint with improper motivation.

***Both The Factual and Legal Components of Complainant's Underlying Case Were Objectively Reasonable***

As of the time of this writing, the undersigned is unaware of any cases currently pending before the Commission which discuss and analyze the standard of review for what is "objective reasonableness" in the context of litigation involving the Shipping Act, however, inasmuch as Edaf, supra, makes specific reference to Fogerty, supra, a line of copyright cases have evolved since Fogerty, which discuss objective reasonableness and which are instructive.

For example, the Second Circuit has recognized that "objective reasonableness is a factor that should be given substantial weight in determining whether an award of attorneys' fees is warranted" because "the imposition of a fee award against a copyright holder with an objectively reasonable litigation position will generally not promote the purposes of the Copyright Act." See, Corwin v. Walt Disney World Co., No. 6:02CV1377ORL19KRS, 2008 WL 754697, at \*5 (M.D. Fla. Mar. 18, 2008) (citing Matthew Bender & Co. v. West Publ'g Co., 240 F.3d 116, 121-22 [2d

Cir.2001)). “This is because such attorney fee awards may chill litigation of close cases, preventing the clear demarcation of the boundaries of copyright law.” Corwin, *supra*, (citing Ariel (UK) Ltd. v. Reuters Group PLC, No. 05 Civ. 9646, 2007 WL 194683, at \*1 [S.D.N.Y. 2007] and Fogerty, 510 U.S. at 527).

“Cases applying the objectively unreasonable standard predictably run in both directions and are highly dependent on case specific facts and circumstances.” Corwin, *supra*. The mere fact that summary judgment was granted to a defendant, in and of itself, also does not speak to whether Plaintiff's claims were “objectively unreasonable.” Id. (citing FASA Corp. v. Playmates Toys, Inc., 1 F.Supp.2d 859, 864 [N.D.Ill.1998] for the proposition that not all unsuccessfully litigated claims are objectively unreasonable; and Garnier v. Andin Int'l, Inc., 884 F.Supp. 58, 62 [D.R.I.1995] holding that although plaintiff's suit was “premised on an erroneous view of the law,” it was not unreasonable).

Since the Fogerty Court issued its decision, several courts have exercised their discretion to deny attorney's fees to prevailing parties in copyright actions. See, e.g., Johnson v. Tuff-N-Rumble Mgmt., Inc., 2000 WL 1145748, \*11 (E.D.La.2000) (denying defendant's request for fees where plaintiff's claims were colorable and not objectively unreasonable and where award would not deter future baseless suits); see also Donald Frederick Evans & Assoc. v. Continental Homes, Inc., 785 F.2d 897, 916 (11th Cir.1986) (in pre-Fogerty case, affirming denial of prevailing defendant's fee request where plaintiff's claims were colorable).

Based upon the foregoing standard of review and as set forth below, it is respectfully submitted complainant's claim herein was “objectively reasonable” in both its factual and legal components inasmuch as there was a “colorable” basis for filing of complainant's Complaint with the Commission.

### Colorability

It is well settled that a claim is colorable when it has some legal and factual support, considered in light of the reasonable beliefs of the individual making the claim. See, Revson v. Cinque & Cinque, P.C., 221 F.3d (2d Cir. 2000) (quoting Nemeroff v. Abelson, 620 F.2d 339, 347 [2d Cir. 1980]); see also, Dow Chemical Pacific Ltd. v. Rascator Maritime S.A., 782 F.2d 329 (2d Cir. 1986) (whether a claim is colorable, is a matter of ‘whether a reasonable attorney could have concluded that facts supporting the claim might be established, not whether such facts actually had been established). ***The colorability threshold is low.*** See, McCune v. Rugged Entm't, LLC, No. 08-CV-2677 (KAM), 2010 WL 1189390 (E.D.N.Y. Mar. 29, 2010) (Emphasis added).

Accordingly, and identical to both respondents’ efforts to seek attorneys fees upon allegations of a frivolous complaint as well as allegations of complainant having interposed a complaint without good cause or not brought with good faith or proper motivation, neither can the foregoing serve as grounds for warranting an award of attorneys fees based upon allegations of complainant’s claim herein having been objectively unreasonable in both its factual and legal components. As set forth in detail herein, complainant sought both monetary and non-monetary relief from the Commission, which was ultimately denied when the Presiding Officer dismissed the complaint on limitations grounds, in error. The Complaint sounded in *bona fide* violations of the Shipping Act, and it is reasonable to conclude that facts supporting Baltic’s claim might be established, if not conclusively having already been established regardless of the limitations issue.

Additionally, and to the extent that that the limitations period did in fact apply to various shipments, it cannot be said that complainant unreasonably believed that the limitations period was tolled, particularly in light of respondents’ having taken active steps to conceal their

fraudulent activities from complainant, and thus making the “Discovery Rule” a reasonable legal position for complainant to adopt, as set forth in its opposition to respondents’ Motion for Partial Summary Decision. To the extent that complainant may have arguably been mistaken in its belief, and premised its defense on an erroneous view of the law, its legal argument was not unreasonable pursuant to the case law cited herein. See, Garnier, supra.

***Awarding Attorneys Fees To Respondents Will Not Further Considerations of Compensation nor Deterrence***

***Complainant Engaged In No Actions Mandating or Warranting “Deterrence” Nor Is “Deterrence” an Issue Herein***

As set forth above, it *cannot* be said that complainant, by the filing of a meritorious claim herein, with good cause, in good faith, with proper motivation, and which was grounded in a colorable basis in fact and in law, has engaged in any action mandating or warranting deterrence. It is further respectfully submitted that as explained herein, considerations of deterrence and compensation are irrelevant to the instant matter.

Since the Fogerty Court issued its decision, several courts have exercised their discretion to deny attorney's fees to prevailing parties, finding that considerations of deterrence and compensation were irrelevant. See, e.g., Lotus Dev. Corp. v. Borland Int'l, Inc., 140 F.3d 70, 74-75 (1st Cir.1998) (in a case of first impression, denial of fees was within court's discretion where “both parties had important economic interests in the litigation,” deterrence was not a factor, and plaintiff's unsuccessful claim was reasonable); Clark v. Hudson Bay Music, Inc., 1996 WL 547186 (2d Cir.1996) (denial of plaintiff's request for fees affirmed where damages and future royalties made considerations of deterrence and compensation irrelevant); Compaq Computer Corp. v. Procom Tech., Inc., 908 F.Supp. 1409, 1429 (S.D.Tex.1995) (declining to award fees to prevailing plaintiff where deterrence was served by injunctive relief and defendant's position was not objectively unreasonable).

In the first instance, it is respectfully submitted that complainant, in bringing the instant action, acted in an objectively reasonable manner, regardless of whether or not its claims were ultimately successful. The Commission is also respectfully asked to note again, that the *sole* reason that respondents now claim to have the status of a “prevailing party” is due to the fact that

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

As the Commission may further be aware, the instant matter is the sole case brought by complainant in this forum. Baltic is neither a serial litigator before the Commission, nor would there have been any further reason for Baltic to continue to pursue its claims herein [REDACTED]

[REDACTED]

[REDACTED]. As such, it is

respectfully submitted that considerations of deterrence and compensation are not relevant to the Commission’s consideration of factors in ruling on respondents’ instant Petition, which should, for the numerous reasons stated above, be denied in its entirety.

#### ***Complainant’s Request for an Evidentiary Hearing***

Complainant respectfully requests an evidentiary hearing pursuant to Rule 254(g) in order to prevent the perpetration of an outright fraud against the Commission and complainant alike.

Rule 254(g) of the Commission’s Rules of Practice and Procedure, 46 CFR §502.254 reads, in relevant part, as follows:

- (g) Timing of rulings. An order granting or denying a petition for attorney fees will be served within 60 days of the date of the filing of the reply to the petition or expiration of the reply period, ***except that in cases***

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his instant Petition and which respondent Hitrinov and his counsel Werner have actively

concealed within their Petition.

Also attached is correspondence regarding the scheduling of a telephonic conference with attorneys Werner and Doyle *at Judge Cavanaugh's request* for purposes of resolving the instant fraudulent Petition, which Werner and Doyle refused to participate in, despite having been notified of same by the undersigned.

Accordingly, complainant is now compelled to resort to a request that the Commission hold an evidentiary hearing so that Judge Cavanaugh may Certify and attest to facts which establish the attempted perpetration of a fraud upon the Commission and complainant through the relief that respondents have wrongfully sought.

Consequently, and upon the Commission's granting of complainant's instant application for a hearing, complainant will file, under separate cover, a letter request for the issuance of a Subpoena so that Judge Cavanaugh as former Special Master may be questioned under oath as to the certification and attestation set forth above.

[REDACTED]

[REDACTED]

[REDACTED]

Accordingly, it is respectfully submitted that the foregoing constitutes a good faith basis for the holding of a hearing in order to prevent the perpetration of a fraud upon the Commission and complainant by respondents and their counsel.

Additionally, the Commission is respectfully asked to take note of its own Rule of Practice and Procedure Rule 26, 46 CFR §502.26 which sets forth modes of professional conduct which appears to have been violated by the attempted act of fraud now pending before the Commission in the form of respondents' instant Petition.

Accordingly, and in light of the foregoing, complainant respectfully requests that their request for a hearing be granted.

***Complainant's Review of Respondents' Calculation of Attorneys Fees Allegedly Incurred***

It is respectfully submitted that for the reasons set forth above, respondents are, *in no way*, entitled to single cent of the attorneys fees which they are now fraudulently attempting to bilk from complainant by using the Commission as a vehicle to procure same. Least complainant's silence on the issue of the sum allegedly claimed by respondents be remotely construed as assent, however, the Commission is respectfully asked to note the following issues with respondents' 'accounting' which are readily apparent after a review of respondents' instant and ill-founded Petition.

As a preliminary matter, the Commission is asked to note that respondents' submission fails to include any proof whatsoever that the fees claimed by respondents were in fact paid to their attorneys. Respondents have failed to produce a single copy of a check or receipt of payment. Notably, page "23" of the invoices annexed to Doyle's Declaration state that the total "open" fees in this matter are \$77,189.62 - - this is in conflict with paragraph "8" of Doyle's Declaration.

In the first instance, the Commission is aware that up to the date of the filing of respondents' instant Petition seeking fees in the total amount of \$93,485.37, to wit: July 19, 2017, the sole attorney appearing before this Commission on behalf of respondents was Mr. Doyle and *not* Werner. Rule 254 of the Commission's Rules of Practice and Procedure ("RPP") explains that: "Attorney fees means the fair market value of the services of any person permitted to appear and practice before the Commission in accordance with subpart B of this part." Subpart B of the RPP contains Rule 23, which explains that: "Each person who appears in a representative capacity in a proceeding must deliver a written notice of appearance to the

Secretary stating for whom the appearance is made.”

Accordingly, and inasmuch as Werner did not appear in this matter until July 19, 2017, the Commission may summarily disregard all fees claimed by Werner as set forth in pp. 1-6 of the invoices dated May 18, 2015 annexed to his Declaration inclusive of costs and disbursements<sup>7</sup>; all fees, costs and disbursements claimed in pp. 1-3 of Werner’s June 30, 2015 invoices; all fees, costs and disbursements claimed in pp. 1-4 of Werner’s August 26, 2015 invoices; and all fees, costs and disbursements claimed in pp. 1-3 of Werner’s October 30, 2015 invoices. The Commission is also respectfully asked to note that while on page “21” of respondents’ Petition, respondents claim an additional \$7,125.00 for hours incurred by Werner for “preparing this fee petition”: (1) respondents admit that “invoices have not yet been generated for the time spent” in preparing same; and (2) Werner did not appear in the instant matter on behalf of respondents prior to the filing of said Petition on July 19, 2017. Accordingly, and inasmuch as respondents have failed to comply with the Commission’s rules regarding the requirement to include “supporting evidence of the reasonableness of the hours claimed” as set forth in RPP 254, and that Werner cannot claim fees for hours incurred prior to his appearance before the Commission, the Commission may summarily disregard all fees claimed by Werner with respect to same.

With respect to the fees which Werner claims were allegedly incurred, it is further respectfully submitted that all of said allegedly claimed fees relate to Werner’s representation of respondents in the District of New Jersey action, and cannot be claimed as “...the fair market value of the services of any person permitted to appear and practice before the Commission...” provided for in RPP 254. On this issue, the Commission is asked to note that footnote “4” on

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<sup>7</sup> Costs and expenses are not awardable under the Shipping Act for claims adjudicated by the Commission. See *Tienshan, Inc. v. Tianjin Hua Feng Transp. Agency Co., Ltd*, 32 S.R.R. 52, 67 (ALJ 2011); *Global Transporte Oceanico S.A. v. Coler Independent Lines Co.*, 28 S.R.R. 1162, 1163 n.5 (ALJ 1999) (the term “attorney’s fees” does not include costs).

page “20 of respondents’ Petition admits that much of Werner’s time “...was more closely related to the Enforcement Action or overlapped between this proceeding and that action...”.

Additionally, and with respect to the fees which Mr. Doyle claims are allegedly due and owing, the Commission is respectfully asked to note that while Doyle proffers a Declaration on his own behalf, wherein he purports to explain his background, experience, and alleged supporting evidence of the reasonableness of the hours claimed by him as required in Rule 254 of the RPP, conspicuously absent from Doyle’s submission is a Declaration of David Gabel, Esq, with whom Doyle appeared in this matter on behalf of respondents. This is fatal to Doyle’s application inasmuch as Doyle purports to claim fees allegedly incurred by Mr. Gabel during the course of this matter. Further, and inasmuch as RPP Rule 254(d)(1)(ii) requires that respondents specify “...the number of hours claimed by each person representing the prevailing party at each identifiable stage of the proceeding”, the Commission is aware that respondents’ Petition fails to do so.

Accordingly, the Commission may summarily disregard all fees claimed by Doyle as set forth in the invoices attached to his Declaration that bear the notation “DG” as timekeeper and beginning on page “10” of said invoices. Specifically, the dates that Mr. Gabel allegedly performed work on this matter are as follows: 4/1/15, 4/13/15, 4/28/15, 5/5/15, 5/7/15, 5/8/15, 6/12/15, 7/2/15, and 2/29/16.

Further, and to the extent that Doyle’s claimed fees relate to his representation of respondents in the District of New Jersey action, said fees cannot be claimed as “...the fair market value of the services of any person permitted to appear and practice before the Commission...” provided for in RPP 254. Accordingly, the Commission may summarily disregard all fees claimed by Doyle which were clearly for work allegedly performed during the course of representing respondents in an unrelated matter on the following dates: 7/2/15, 7/6/15,

7/9/15, 11/24/15.

It also appears that Doyle has attempted to claim fees for work allegedly performed during the course of representing respondents in the matter of Empire United Lines Co., Inc. v. Presniakovas et al. (U.S.D.C. -- EDNY Docket No.: 1:15-cv-00557-DLI-RER). The Commission may recall that as set forth herein, the issue in that matter was Hitrinov's attempt to collect on a loan made to Baltic in the sum of \$200,000 which Baltic had repaid prior to the initiation of said lawsuit. Accordingly, the Commission may summarily disregard all fees claimed by Doyle on the following dates: 12/8/14, 12/12/14, and 1/23/14. To the extent that Doyle also purports to claim fees for time allegedly incurred to seek discovery against the undersigned personally ("against Nussbaum"), the Commission may summarily disregard all fees claimed by Doyle on the following date: 2/27/15.

The Commission is also aware that Rule 11 of the RPP explains that "No person who is a party to or an agent of a party to any proceeding as defined in §502.61 or who directly participates in any such proceeding and no interested person outside the Commission shall make or knowingly cause to be made to any Commission member, administrative law judge, or Commission employee who is or may reasonably be expected to be involved in the decisional process of any such proceeding, an ex parte communication relevant to the merits of the proceeding...". It appears that not only did Doyle violate said rule by engaging in ex parte communications with Commission employees, but that he also now attempts to claim fees for time incurred as a result of same. Accordingly, the Commission may summarily disregard all fees claimed by Doyle on the following dates: 12/12/14 and 1/21/15.

Finally, a cross-reference was performed for specific dates on which Doyle alleges to have billed for hours incurred in this matter and during which time he allegedly communicated with Werner, against the invoices provided by Werner. RPP Rule 254(d)(1)(iii) requires that

respondents include "...supporting evidence of the reasonableness of the hours claimed...". This cross-reference further reveals that Werner did not provide any services on those specific dates, thus leading to the conclusion, in the absence of evidence of the reasonableness of the hours claimed, that the work allegedly performed on those dates was in fact not performed and no hours were incurred. Accordingly, the Commission may summarily disregard all fees claimed by Doyle on the following dates: 12/9/14, 12/11/14, 1/6/15, 5/6/15, 7/2/15, 9/6/16, 10/10/16, 1/6/17, and 1/20/17.

### **CONCLUSION**

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

**WHEREFORE**, based upon the foregoing, the attachments annexed hereto, and the arguments set forth herein, it is respectfully submitted that the Commission should now deny respondents' Petition in its entirety, and dismiss this case with prejudice and without costs and attorneys' fees to either party together with such other and further relief as may be just and proper under the circumstances. In the alternative, and should the Commission find itself unable to dismiss the instant Petition based upon complainant's Reply, an evidentiary hearing should be

scheduled for the reasons set forth herein.

Dated: August 22, 2017  
Brooklyn, NY

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", is written over a horizontal line.

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224  
Tel: 888-426-4370  
Attorney for Complainant

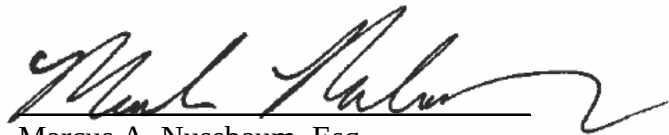
**CERTIFICATE OF SERVICE**

I hereby certify that I have this day served the **COMPLAINANT'S REPLY TO RESPONDENTS' PETITION REGARDING ATTORNEY FEES AND REQUEST FOR AN EVIDENTIARY HEARING and CERTIFICATION OF MARCUS A. NUSSBAUM** upon Respondents' Counsel at the following address:

Jon Werner, Esq.  
Lyons & Flood, LLP  
One Exchange Plaza  
55 Broadway, Suite 1501  
New York, NY 10006  
Attorney for Respondents

Gerard S. Doyle, Jr.  
The Law Office of Doyle & Doyle  
Attorneys for Respondents  
636 Morris Turnpike  
Short Hills, NJ 07078

by first class mail, postage prepaid, and via email ([gdoyle@doylelaw.net](mailto:gdoyle@doylelaw.net) and [jwerner@lyons-flood.com](mailto:jwerner@lyons-flood.com)).

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', with a long, sweeping horizontal line extending to the right.

Marcus A. Nussbaum, Esq.  
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Dated: Brooklyn, New York  
August 22, 2017